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Co-operative Bank HY'24 Earnings Note

research@aib-axysafrica.com



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August 20th , 2024

Ticker Information	
NSE Code:	COOP
Issued Shares (Bn):	5.87
52-week high:	KES 15.05
52-week low:	KES 10.20

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	-0.4%	1.6%	7.1%	12.7%

Source: NSE, AIB-AXYS Research

Analysts

Ronny Chokaa

rchokaa@aib-axysafrica.com

Stacy Makau

smakau@aib-axysafrica.com

Recommendation	Current Price	Target Price
BUY	**KES 12.90**	**KES 14.90**

Summary

- **Co-operative Bank of Kenya trailed a volatile macroeconomic environment over the first half of 2024 to exceed in-house expectations –** posting an improved trailing earnings per share to KES 4.10/=, up from KES 3.95 at the start of the year.
- **Net earnings expanded modestly by 7.0% y/y to KES 12.99Bn softened by a steeper rise in operating expenses compared to operating incomes.** Revenues climbed 10.9% y/y although partially offset by a slightly faster 11.1% y/y increase in total operating expenses. The trailing return on equity however declined 170bps y/y to 20.5% while trailing return on assets declined 10bps y/y to 3.5%.

Key Highlights

- **Resilient Core Performance:** Net Interest Income grew 10.7% y/y to KES 23.86Bn as the 52.6% surge in cost of funds diluted the impressive 24.4% y/y rise in interest incomes. Non-funded income grew 11.2% y/y to KES 15.37Bn – primarily bolstered by increased forex trading income. Net interest margins contracted 50bps to 7.3% over the year. The average yield on interest-earning assets paced up 100bps y/y to 12.7% reflecting rising reinvestment returns. However, this gain was offset by a sharper 160bps y/y increase in the cost of funds to 5.4%. This in our view, points to the effects of a *higher-for-longer* interest rate environment.
- **Pressurized Asset Quality:** Gross Non-Performing Loans (NPLs) rose 19.0% y/y to KES 69.55Bn – triggering a 210bps y/y jump in the gross NPL ratio to 16.9%. NPL coverage declined 120bps y/y to 59.5%. In response to deteriorating credit risk environment, management elected to tighten credit impairment provisions by 4.9% y/y to KES 3.0Bn - reflecting increased cautiousness amid intensifying pressures on asset quality.

Balance Sheet Dynamics

Customer deposits grew 9.4% y/y to KES 507.39Bn widening the scope for the 2.8% y/y expansion of the loan book to KES 375.63Bn. Management capitalized on attractive yields, increasing government securities holdings by 7.3% y/y to KES 202.23Bn. Consequently, the loan to deposit ratio declined 470bps y/y to 74.0%. Fair value on investment securities improved to a gain of KES 9.13Bn reflecting the bank's proactive management of its investment portfolio amid an easing yield environment.

Declining Efficiency

Operational efficiency declined with the cost-to-Income ratio (excluding loan-loss provisions) increasing 50bps y/y to 46.6%. This decline in efficiency was primarily driven by a faster 12.2% y/y increase in pre-provision operating expenses outpacing the 10.9% y/y increase in operating income. The rise in expenses was largely attributable to investments in human capital and digital capabilities.

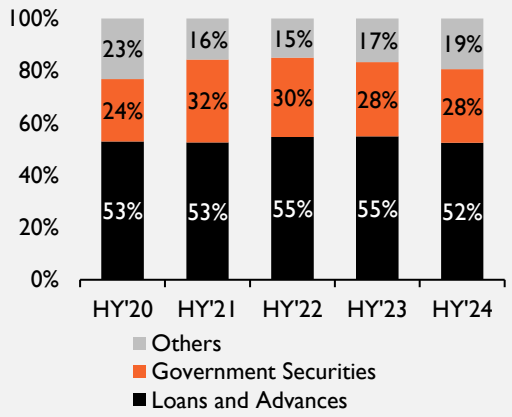
Outlook:

We anticipate Co-operative Bank's future growth trajectory to anchored on broader digital transformation and diversified revenue streams. The increased adoption of digital banking channels is expected to drive operational efficiencies and facilitate business expansion. Rising opportunities in MSME working capital lending present potential for economies of scale, while the bank's long-term growth prospects are likely to be bolstered by its fast-growing banking and non-banking subsidiaries. Despite ongoing pressures on asset quality, we anticipate organic loan portfolio expansion coupled with prudent risk pricing to drive growth in risk-adjusted profitability over the medium-term horizon.

Recommendation

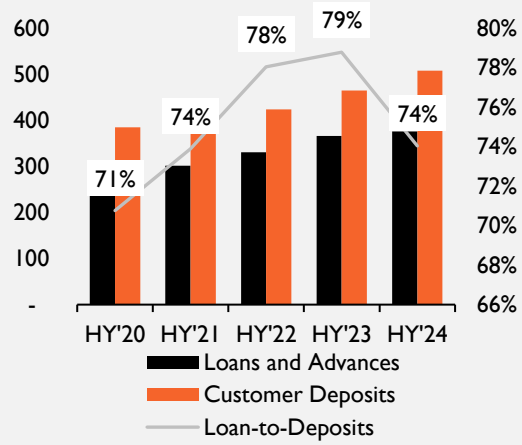
- **We maintain our *BUY* recommendation on Co-operative Bank on account of its rising performance prospects.** At the current market price, the stock is trading at P/E ratio of 3.3x and a P/B ratio of 0.6x. Our one-year target price for Cooperative currently stands at KES 14.90 - representing a c.15.5% upside potential from current levels.

Chart 2: Consistent Asset Composition



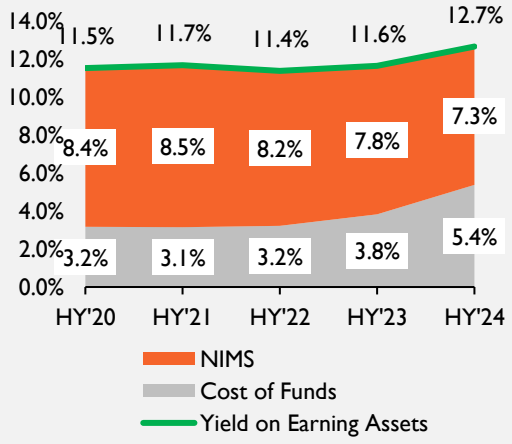
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Contracting Net Interest Margin



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	HY'20	HY'21	HY'22	HY'23	HY'24	% y/y change
Net Interest Income	15.91	18.83	21.06	21.55	23.86	▲ 10.7%
Net non-Interest Income	8.31	10.32	13.30	13.82	15.37	▲ 11.2%
Total Operating income	24.22	29.16	34.35	35.37	39.23	▲ 10.9%
Provision for Impairment	(1.86)	(4.16)	(3.34)	(2.86)	(3.00)	▲ 4.9%
Total Operating expenses	(14.57)	(18.70)	(19.16)	(19.14)	(21.27)	▲ 11.1%
Profit before tax	9.60	10.52	15.28	16.41	18.16	▲ 10.7%
Profit after tax	7.20	7.37	11.47	12.14	12.99	▲ 7.0%
Annualized EPS	2.45	2.51	3.91	4.14	4.43	▲ 7.0%

Balance Sheet (KES Bn)	HY'20	HY'21	HY'22	HY'23	HY'24	% y/y change
Government Securities	122.37	181.95	183.20	188.46	202.23	▲ 7.3%
Loans and Advances	272.16	301.19	330.06	365.39	375.63	▲ 2.8%
Total Assets	513.92	573.01	603.92	664.95	716.93	▲ 7.8%
Customer Deposits	384.64	407.69	423.03	463.87	507.39	▲ 9.4%
Total Liabilities	432.24	480.41	506.93	556.38	589.80	▲ 6.0%
Shareholder's Funds	80.12	92.62	96.73	108.28	126.70	▲ 17.0%

Ratio Analysis	HY'20	HY'21	HY'22	HY'23	HY'24	% y/y change
Spreads Analysis						
Yield on Assets	11.5%	11.7%	11.4%	11.6%	12.7%	▲ 1.0%
Cost of Funds	3.2%	3.1%	3.2%	3.8%	5.4%	▲ 1.6%
Net Interest Margin	8.4%	8.5%	8.2%	7.8%	7.3%	▼ (0.5%)
ROaE	18.2%	12.5%	21.8%	22.2%	20.5%	▼ (1.7%)
ROaA	2.9%	2.0%	3.5%	3.6%	3.5%	▼ (0.1%)
Profit Margin	29.7%	25.3%	33.4%	34.3%	33.1%	▼ (1.2%)
Operating Efficiency						
Cost to Income Less LLP	52.4%	49.9%	46.0%	46.0%	46.6%	▲ 0.5%
Cost to Assets Less LLP	2.5%	2.5%	2.6%	2.4%	2.5%	▲ 0.1%
Loan to Deposit Ratio	70.8%	73.9%	78.0%	78.8%	74.0%	▼ (4.7%)
Asset Quality						
NPL	12.0%	15.6%	14.3%	14.8%	16.9%	▲ 2.1%
NPL Coverage	54.6%	63.5%	65.8%	60.7%	59.5%	▼ (1.2%)
Cost of Risk	0.7%	1.4%	1.0%	0.8%	0.8%	▲ 0.0%
Capital Adequacy						
Core Capital/TRWA	16.3%	15.3%	15.5%	16.5%	18.1%	▲ 1.6%
Total Capital /TRWA	16.8%	17.0%	16.6%	20.5%	21.3%	▲ 0.8%
Liquidity	45.2%	55.7%	44.5%	52.3%	54.0%	▲ 1.7%



CONTACTS

Research Desk

Ronny Chokaa

Senior Research Analyst

Stacy Makau

Research Analyst

Alex Sanja

Sheila Wambui

Email: research@aib-axysafrica.com

Equities Dealing

Nina Goswami

Bernard Kung'u

Benard Gichuru

Anthony Kiambati

Samuel Githinji

Sheema Shah

Samuel Wachira

Benson Ngugi

Email: trading@aib-axysafrica.com

Bond Dealing

Crispus Otieno

Titus Marenye

Aundrina Musyoka

Kenneth Minjire

Email: trading@aib-axysafrica.com

Derivatives Trading

Anthony Kiambati

Email: Derivapplications@aib- axysafrica.com

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